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# LITERATURE REVIEW
# Causes and consequences of downsizing: Towards an integrative framework*

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## ABSTRACT
*The business literature on the causes and consequences of downsizing has grown significantly over the last three decades. A multitude of causes has been identified. Downsizing is sometimes seen primarily as a cost-reducing response to various crises and external factors over which management has little or no control. Others see downsizing as a strategic management initiative in its own right. A considerable body of literature indicates workforce reductions often lead to negative financial and operational outcomes for the downsizing firm as well as negative psychological outcomes for victims, survivors, and executioners. This research paper represents a literature review on the causes and consequences of downsizing. It addresses a diverse body of literature and suggests an integrative framework on the typical causes and consequences of downsizing as well as outlines some challenges ahead for researchers seeking to advance the knowledge of downsizing.*

**Keywords:** downsizing, causes, consequences, literature review

## INTRODUCTION
The research on downsizing has emerged largely from the 1980s onward after years of being a neglected topic in organizational science (De Meuse & Marks, 2003; Mellahi & Wilkinson, 2004; Whetten, 1980). A multitude of studies covering a wide range of different aspects of downsizing in various countries and regions have been conducted (Gandolfi, 2006a). Studies have involved various elements and facets drawing from several academic disciplines, including Industrial Organization, Organizational Ecology, Organizational Studies, and Organizational Psychology (Mellahi & Wilkinson, 2004).

The body of literature on downsizing is substantial, reflecting its prevalence in the U.S., the U.K, Canada, Europe, Australia, New Zealand, and Japan in the 1980s, 1990s, and the early days of the new millennium (Cameron, 1994; Cameron, Freeman, & Mishra, 1991, 1993;

*Dedicated to Craig R Littler.


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Cascio, 1993; Dolan, Belout, & Balkin, 2000; Gandolfi & Neck, 2003; Farrell & Mavondo, 2004; Littler, 2000). While downsizing has developed into a 'popularist' term (Littler, 1998) that has arisen out of managerial press usage (Littler, Dunford, Bramble, & Hede, 1997), it lacks precise theoretical formulation (Macky, 2004).

As is evident from the literature, there is a wide range of downsizing causes, drivers, and driving forces, yet no single cause seems to be able to explain and account for the emergence and pervasiveness of the phenomenon (Datta, Guthrie, Basuil, & Pandey, 2010). So-called 'classical' causes of downsizing involve cost reducing efforts (Radcliffe, Campbell, & Fogarty, 2001), 'failures', including failures to adopt to changing technology, niche dynamics, and insufficient management skills (Mellahi & Wilkinson, 2004), responses to various types of crises and external factors (Espahbodi, John, & Vasudevan, 2000), and global competition (Mirabal & DeYoung, 2005).

Downsizing generates negative performance outcomes, such as the failure to reduce costs, the lack of significant increase in return on assets and return on common stock (Cascio, 1991, 1993; Cascio, Young, & Morris, 1997), decreased levels of worker commitment (Cameron et al., 1993) and commitment (Zatzick & Iverson, 2006), and the emergence of the 'dirty dozen' – a list of negative attributes associated with organizational decline (Cameron, 1994). A number of downsizing studies address the 'survivor syndrome' as a cluster of negative workforce outcomes (Brockner, Davy, & Carter, 1985; Brockner et al., 1986a, 1986b; Brockner, Greenberg, & Grover, 1988a). Downsizing research reports decreased employee efforts and adaptability, increased propensity to leave, and increased resistance to change (Brockner, 1992; Brockner, Grover, & Blonder, 1988b; Greenhalgh & Rosenblatt, 1984; Littler, Wiesner, & Dunford, 2003). Further, studies on the financial consequences of downsizing raise problematic costs associated with downsizing activities (Atwood, Coke, Cooper, & Loria, 1995). These include deteriorating shareholder value (Appelbaum, Everard, & Hung, 1999a), effects of severance payments (Barker & Duhaime, 1997; Barker & Mone, 1994; Downs, 1995; Robbins & Pearce, 1992), failure in reducing costs (Gandolfi & Hansson, 2010), and decreasing returns on assets and return on common stock (Cascio, 1991, 1993; Cascio et al., 1997).

Given the complex and multifaceted nature of downsizing as a phenomenon and the cumulative development of the associated literature spanning over more than three decades, we argue that there is a need for a review of the literature in order to generate a picture of what we know and what have we learned (see also: Cascio, 1993). First, the literature on downsizing has grown considerably and continues to expand at a rapid pace while less time has been spent on capturing and covering the increasing body of knowledge on this salient topic. Second, we believe that the continued accumulation of the multitude of findings will support researchers and practitioners in their understanding of the causes and consequences of downsizing. By doing so, the review proposes an integrative framework on the causes and consequences of downsizing (see Figure 1).

This research paper begins by examining the history, definition, and scope of downsizing. Subsequently, the focus shifts to the causes of downsizing and the financial, organizational, and human consequences following the conduct of downsizing. In the final sections, the paper presents contemporary downsizing practices, suggests an integrative framework, and outlines the challenges ahead for researchers seeking to advance the knowledge of downsizing.

## History, definition, and scope

Where did the term downsizing come from? A considerable number of management terms have originated with the automobile industry and, surprisingly perhaps, *downsizing* finds its origin there as well. By 1970, the average American family car weighed 2 tons, stretched over 17 feet long, and often sported a massive V-8 engine. Big was beautiful, and bigger was better. The oil crisis of 1973 generated the need for smaller family cars with reasonable performance and economy. Producing


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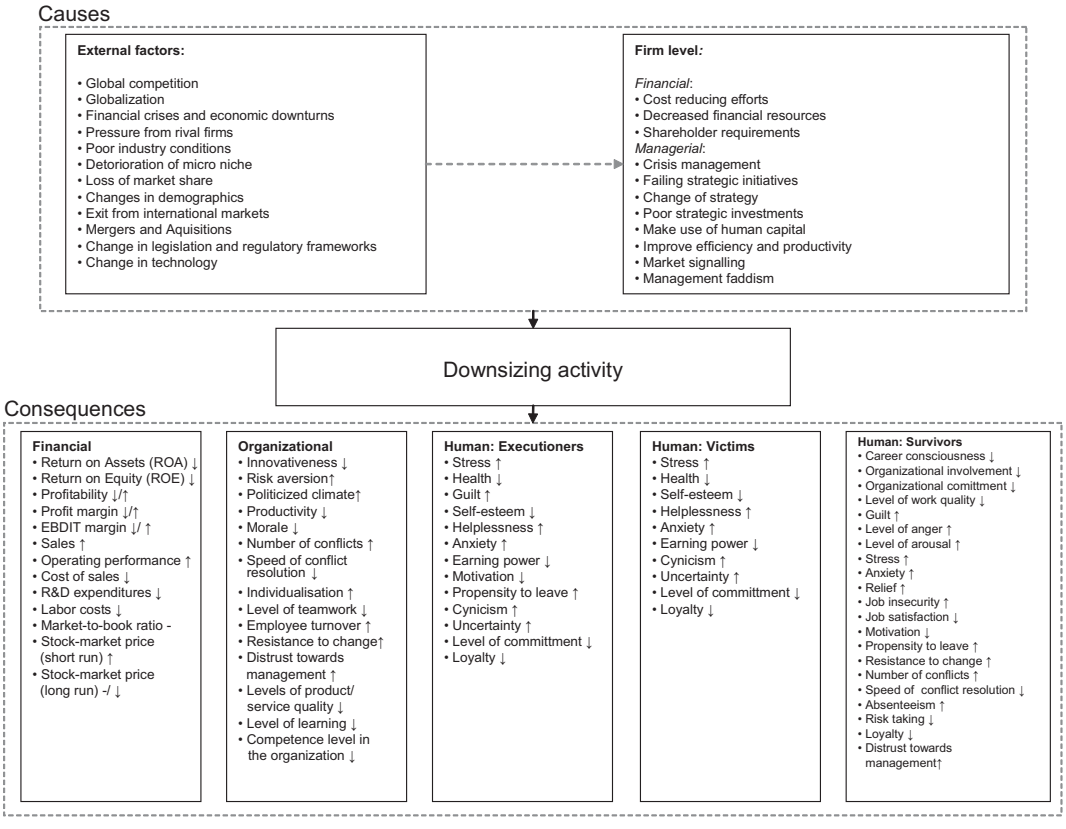



**Figure 1: Typical causes and consequences of downsizing**

these vehicles became known as 'downsizing' in the U.S. auto industry. Thus, the term downsizing was coined to define the scaling down of car sizes by automobile manufacturers (Appelbaum, Simpson, & Shapiro, 1987). In an organizational setting, the term was first applied to a process of cutting back employees when business and government in the U.S. began making major reductions to their employee bases in response to recessionary pressures in the 1980s. As a consequence, downsizing became associated with workforce reduction strategies (Halley, 1995) and a strategy to streamline, tighten, and shrink the organizational structure with respect to the number of personnel employed by the firm. As downsizing became more prevalent, the term was applied to a broader range of managerial efforts to improve a firm's performance.

In the early 1980s, downsizing came into prominence as a topic of both scholarly and practical concern. It became the management 'catch-cry' of the 1990s which subsequently became known as the 'downsizing decade' (Dolan et al., 2000, p. 34). As a strategic managerial tool, it has changed tens of thousands of companies and governmental bodies and the lives of millions of blue and white-collar workers around the world (Amundson, Borgen, Jordan, & Erlebach, 2004).

How can downsizing be defined? According to Cameron (1994, p. 192), downsizing is defined as:

> … a set of activities, undertaken on the part of the management of an organization and designed to improve organizational efficiency, productivity, and/or competitiveness.


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Cameron's definition embraces a holistic approach in an attempt to increase a firm's overall performance. On the other end of the continuum, Cascio (1993, p 95) asserts that downsizing is essentially 'the planned eliminations of positions or jobs'. In other words, the primary purpose of downsizing is not increased organizational performance *per se*, but the reduction of the workforce. In its narrowest sense, downsizing can be viewed as a set of activities introduced to make a firm more cost-effective. In its widest sense, downsizing may be seen as a complete strategic transformation intended to change an organization's design, its work processes, corporate culture, values and attitudes, and mission (Kets de Vries & Balazs, 1997). Downsizing in its most extreme form may turn into an across-the-board cut in personnel (Kets de Vries & Balazs, 1997) or imply a re-focus on certain core businesses and a disposal of peripheral ones (Crainer & Obleng, 1995).

A precise conceptual understanding of downsizing is required to adopt a cumulative approach to academic research. Hence, four major attributes have been identified. First and foremost, downsizing is an intentional set of activities that strongly implies organizational action. Second, downsizing frequently involves a reduction in the number of employees. Third, downsizing concentrates upon improving the efficiency of a company in order to contain or decrease costs, to enhance revenues, or to increase competitiveness. Fourth, downsizing inevitably influences work processes and leads to some kind of work redesign (Cameron, 1998). According to Mirabal and DeYoung (2005), downsizing constitutes a reactive and defensive or proactive and anticipatory strategy implemented by management that inevitably makes a significant impact upon a company's size, costs, and work processes, as well as a firm's shape and culture (Zemke, 1990). While a single definition of downsizing does not exist across studies, it is clear that downsizing means a contraction or shrinkage in the size of a firm which, frequently, implies job losses and retrenchments. For the purpose of this literature review, downsizing will be referred to as an organization's planned contraction of labor resources. Put differently, companies resort to downsizing when they intentionally eliminate positions or jobs.

Evidently, the majority of downsizing research has been conducted in the U.S. (Chadwick, Hunter, & Walston, 2004). Still, the contraction of workforces has not been confined to U.S. firms, but has occurred throughout the world (Ryan & Macky, 1998). Empirical evidence shows that downsizing and its many related concepts has been particularly pervasive in North America (Freeman, 1994), Britain (Thornhill & Saunders, 1998), Canada (Dolan et al., 2000), Europe (Lamsa & Takala, 2000), Japan (Griggs & Hyland, 2003), Australia (Gandolfi, 2006b), New Zealand (Macky, 2004), South Africa (Littler, 1998), and Eastern Europe (Redman & Keithley, 1998). Downsizing is also prevalent in countries that are moving from a state-dominated to a market system, such as countries in Latin America, Russia, and Eastern Europe, where privatization often brings about the need to reduce firms' headcounts (Appelbaum et al., 1999a,b). Downsizing has even become common in certain industrialized countries, such as Japan and Sweden, which have historically displayed very stable employment practices (Mroczkowski & Hanaoka, 1997). Cascio (2003) points out that downsizing has also affected China, which has become one of the world's foremost manufacturing hubs. In 2003 alone, over 25 million Chinese lost their jobs from the transformation and privatization of state-owned enterprises (SOE).

In sum, empirical and anecdotal evidence suggests strongly that the intentional, purposeful adoption of downsizing as a reactive or proactive managerial strategy has occurred in all industries and sectors and impacted businesses, governments, and individuals (Macky, 2004) around the world (Mirabal & DeYoung, 2005) over the past three decades (Gandolfi, 2008).

## Research design

The key objective of this paper was to undertake a comprehensive survey of the downsizing literature, covering the period from 1985 to 2009, and


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to provide a coherent and integrated portrait of the previous research.

In the downsizing literature a variety of terms have been used including but not limited to: building-down, compressing, consolidating, contracting, declining, de-hiring, de-massing, de-recruiting, dismantling, downshifting, functionalizing, leaning-up, ratcheting-down, rationalizing, reallocating, reassigning, rebalancing, rebuilding, redeploying, redesigning, reduction-in-force, re-engineering, renewing, reorganizing, reshaping, resizing, restructuring, retrenching, revitalizing, rightsizing, slimming, slivering, and streamlining (Cameron, 1994; Gandolfi, 2006b; Littler et al., 1997). Given the multitude of terms, this paper focuses on and applies some of the most frequently used applied terms, such as, organizational restructuring, downsizing, delayering, reengineering, and lean production (Cameron, 1994) as the search terms we have applied for the data collection. Non-published items on the internet were not included. All references were abstracted or full copies obtained and subjected to thematic analysis.

We followed the suggested principles of Thorpe, Holt, Macpherson, and Pittaway (2005) in order to adopt a systematic review involving transparency and a broad coverage. The review was limited to published journal articles, conference proceedings, and book chapters. Comprehensiveness was achieved by cross checking references through, among others for example, the social science citation index (SSCI). To qualify for the analysis, studies must have contained and focused on causes and consequences related to the strategic initiative of downsizing.

This paper asserts the ambition to outline an integrative framework of typical causes and consequences of downsizing activities. Extracted from the literature review, we sorted explanatory factors into different categories. For the causes of downsizing we distinguished between external and firm-level factors and for the consequences we divided between financial, organizational, and human factors. The human factors were subsequently divided into three categories; namely executioners, victims, and survivors. The identified and typical categories were derived from the literature review outlined below.

Finally, this paper's paradigmatic domicile is primarily situated within the social action theory within the functionalistic approach (Burrell & Morgan, 1979). The social action theory is one of the paradigmatic domains within the functionalistic paradigm (Burrell & Morgan, 1979). Within the social action theory realm explanations of the social world must be adequate on the level of meaning. Explanations to social affairs must account for the way in which individuals attach subjective meaning to situations and orient their action in accordance with their perceptions of those situations. The social action theory aims to incorporate idealist and positivist approaches to the study of society, bounded by the functionalistic border to subjectivistic approaches. Application of the social action theory consists of a whole range of ontological, epistemological, and methodological assumptions (Burrell & Morgan, 1979).

## Downsizing causes

Why do firms resort to downsizing? From a review of the downsizing literature it is evident that downsizing is a complicated and multifaceted phenomenon with a multitude of possible causes. While scholars have asserted various downsizing causes, drivers, and driving forces, no single cause can explain and account for the emergence and pervasiveness of the phenomenon. Still, there are some archetypes of causes to a downsizing decision. Taking Radcliffe et al. (2001) scheme as a starting point, 'classical' causes of downsizing are various types of cost reducing efforts in response to various types of crises and external factors over which management has little or no control. Frequently cited examples include global competition (Mirabal & DeYoung, 2005), pressures from rival firms (Luthans & Sommer, 1999), poor industry conditions (Espahbodi et al., 2000), deterioration of micro niches (Cameron, Sutton, & Whetten,


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1988; Hannan & Freeman, 1988, 1989), shrinking market (Harrigan, 1982), severe loss of market shares (Hedberg, Nystrom, & Starbuck, 1978; Starbuck, Greve, & Hedberg, 1978), change in demographics (Mellahi & Wilkinson, 2004), divestments (Montgomery & Thomas, 1988), exit from international markets (Jackson, Mellahi, & Sparks, 2005), failing strategic initiatives and wrong investments (Ghemawat, 1991), and other types of failures (Mellahi & Wilkinson, 2004).

Downsizing can be the consequence of a management practice or strategy. Ryan and Macky (1998) distinguished between downsizing as a reactive and downsizing as a proactive strategy. The former strategy, implemented predominantly prior to the late 1980s, was used to temporarily adjust to a cyclical downturn or to avoid organizational demise and bankruptcy. The more versatile proactive strategy seeks to address a multitude of organizational situations, including but not limited to rectifying historical tendencies towards overstaffing, managing cyclical business declines, introducing new information technology, the use of automation, shifting business strategies, mergers and acquisitions (M&A), globalization, and cost-reduction strategies aimed at achieving competitive advantages (Farrell & Mavondo, 2004). Downsizing is sometimes employed not only to cut labor costs by shedding labor in the short run, but also to apply downward pressure on wage demands from the remaining workforce in the longer term (Farrell & Mavondo, 2004; Ryan & Macky, 1998).

Downsizing activities involve temporary and permanent job cuts (Beaumont & Harris, 2003), plant closings (Allen, Freeman, Russell, Reizenstein, & Rentz, 2001; Hansson & Wigblad, 2006a, 2006b), site closures (Gandolfi, 2006b), and layoffs (Macky, 2004). Often, cutting initiatives have been aimed at the unskilled blue-collar workers earning an hourly wage (Cameron, 1994), as well as some lower-level white-collar workers (Freeman, 1994). In some aspects and type of industries, however, there has been a shift of job-cutting targets from blue-collar workers to predominantly white-collar workers, especially among higher-level white-collar workers, professionals, and middle managers, as seen in the 1980s (Littler, 1998; Dolan et al., 2000). Still and as often argued by managers, firms downsize to make best possible use of their human, capital, and physical resources. They seek to gain efficiency and productivity – measured in terms of output per employee (Cascio, 1998; Chadwick et al., 2004) – and to react to temporary changes (Anthony, Perrewe, & Kacmaar, 1996). These firms employ outsourcing (Beylerian & Kleiner, 2003) and the increased use of contingent labor (Beylerian & Kleiner, 2003) as complementary drivers to downsizing activities.

Downsizing can also be caused by financial pressures and financial losses (Cameron et al., 1988; Cascio, 1991, 1993). These are among the dominant reasons to downsize and can include reductions in workforce, investments, and production equipment (Appelbaum, Lavigne-Schmidt, Peytchev, & Shapiro, 1999b; Caulkin, 1995; Marks & De Meuse, 2003). Examples of financial and related pressures driving downsizing activities include decreased financial resources (Cameron, 1994), demands from shareholders (Delorese, 1998), effects of mergers and acquisitions (Kets de Vries & Balazs, 1997), privatization (Allen, 1997), negative profitability, higher operation costs, and lowered profit margins, (Allen, 1997; Hambrick & D'Aveni, 1988), changes in customer preferences, legislation, and regulatory frameworks (Lee & Alexander, 1999; Marks & De Meuse, 2003; Zammuto & Cameron, 1985), higher administrative costs and the problems of raising capital, as well as attracting, recruiting, and retaining highly skilled workers (Aldrich & Auster, 1986). Also, poor operating and stock price performance, increased gearing, and threats from external markets for corporate control precede employee layoffs (Hillier, Marshall, McColgan, & Wereman, 2007). However, in its extreme, long-term, severe forms of financial pressure, financial losses, inabilities to handle payments, and different forms of bankruptcy can


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cause a complete workforce reduction and non-continuity of business processes (Altman, 1971; Aziz, Emanuel, & Lawson, 1988; Chopra, 2006; Dimitras, Zanakis, & Zopounidis, 1996).

Firm behavior can be meaningfully interpreted as 'signals' to capital markets and stakeholders. Downsizing activities can serve as a key signal to capital markets, where executives often think that a stable or rising stock price constitutes an essential resource for the company (Littler & Gandolfi, 2008). Downsizing has been applied as a strategy in order to yield immediate increases in stock prices (Appelbaum et al., 1999a, 1999b; Downs, 1995; Fisher & White, 2000). Executives are usually aware of the positive reaction immediately following a decision to downsize, which, presumably, could be used as means of achieving short-term positive stock price movements. Investors and financial analysts could be expected to view the announced downsizing programs favorably, leading to an increase in stock prices (Appelbaum et al., 1999a, 1999b; McKinley, Sanchez, & Schick, 1995).

Harrington (1998) attributes downsizing to surpluses of both employees and facilities, the direct result of increased competition, increased efficiency, reduced need for middle managers resulting from delayering and employee empowerment, and reductions in required maintenance resulting from improved quality and reliability of products. In a similar vein, Appelbaum et al. (1999a, 1999b) view downsizing as one of many cost-containment strategies, such as total quality management (TQM), reengineering, transaction processing, and information systems, implemented in order to streamline activities and to reduce waste and inefficiencies.

Downsizing can also be caused by a response to technological change and advancement (Luthans & Sommer, 1999). For example, Appelbaum et al. (1999a, 1999b) asserted that technological advancement and innovations resulted in increased productivity and a decrease in required workers. In contrast, Littler (1998) contends that a change in technology was not the primary reason for firms to engage in downsizing; in fact, technological improvements often resulted in hiring additional workers. Similarly, Kets de Vries and Balazs (1997) conclude that it was not the introduction of technology *per se*, but the administrative impact of the revolutionary transformation in information and communication technology, that resulted in downsizing. Still, a chief outcome of the technological advances in the 1990s was an increased redundancy of middle management (Kets de Vries & Balazs, 1997) which resulted in 'delayering' (Gandolfi & Hansson, 2010; Littler, 1998).

From a neo-institutional perspective, a number of empirical findings of drivers and driving factors that (partially) explain why organizations practice downsizing activities have been identified: Downsizing rates are higher among firms that execute many consolidations than among those that execute fewer ones, and firms that make large investments in labor-saving technologies have higher downsizing rates than those that make relatively small investments in technologies (Budros, 1999, 2002, 2004). Further, downsizing rates are higher among firms with higher employee compensation levels than among those with lower levels, and larger firms have higher downsizing rates than smaller ones (Budros, 1997, 1999).

Moreover, firms with smaller shareholder values have higher downsizing rates than those with larger values (Budros, 2004). It is evident that firms under attack from raiders have higher downsizing rates than those not under attack, firms in deregulated industries have higher downsizing rates than those operating in regulated ones (Budros, 1999, 2004), and downsizing rates increase during economic troughs and decrease during peaks (Budros, 2004; Cascio, 1993; McKinley et al., 1995). Downsizing rates are lower among employee-centered firms than among those that are less employee-oriented, and downsizing rates are higher among firms with CEOs possessing financial backgrounds than among those where the CEOs came from other educational and professional backgrounds


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(Budros, 1999, 2004). Downsizing rates are higher among firms with many interlocks with past downsizing activities than among ones with fewer interlocks with downsized firms (Budros, 1999, 2004). In addition, downsizing rates are higher among firms that act in a network (e.g., industry) within which downsizing rates, among participating firms or organizations, are high or increasing. Finally, downsizing rates are higher in industries that are highly competitive than in industries that are less competition-oriented (Budros, 1999).

In sum, a great multitude of downsizing causes has appeared in the literature. To put a single downsizing cause forward is problematic and underrates the sheer complexity of the downsizing phenomenon. While some of the more frequently cited driving forces include globalization, increased foreign competition, M&A activities, deregulation, and the introduction of new technologies, it must be understood that each downsizing decision represents a combination of various factors. Having established the causes, the following section examines the outcomes and consequences of downsizing.

## Downsizing consequences

Downsizing generates profound overall consequences, as noted in the management literature as well as in the business press. A close study of the extensive body of literature on the consequences of downsizing presents a complex yet rich picture. Despite the large body of research, there is scant evidence for the overall success, effectiveness, and efficiency of this strategy when assessed from financial, organizational, and human resource perspectives (Burke & Greenglass, 2000; Gandolfi, 2009; Littler & Gandolfi, 2008).

Downsizing produces a range of *financial* consequences. A multitude of studies – cross-sectional and longitudinal, North American and international – have demonstrated that while some organizations have reported financial improvements, the majority of downsized firms have not been able to reap improved levels of efficiency, effectiveness, productivity, and profitability (Cascio, 1993; Gandolfi, 2008; Gandolfi & Neck, 2008; Guthrie & Datta, 2008; Love & Nohria, 2005; Macky, 2004; Sahdev, 2003).

From the literature review, a set of common denominators can be identified. This is presented in Table 1 as a chronological, non-exhaustive account of some representative studies on the financial consequences of downsizing activities. First, it is obvious that researchers have applied diverse measures for their analyses. The results vary among studies as some researchers indicate positive financial consequences, while others have reported negative outcomes. For instance, there are some contradictory outcomes on the return on asset ratio (ROA) and return on equity ratio (ROE). Indeed, a number of studies indicate that both employee and asset downsizers as well as employment 'upsizers' reduce ROA and ROE levels, while other studies do not find any significant relationships (Cascio et al., 1997; Dawkins, Littler, Valenzuela, & Jensen, 1999; De Meuse, Bergmann, Vanderheiden, & Roraff, 2004; De Meuse, Vanderheiden, & Bergmann, 1994). Furthermore, asset downsizers have proved more effective than employee downsizers when it comes to the outcomes on the return on stock (ROS; Cascio et al., 1997; Worrell et al., 1991).

Second, regarding the profitability, profit margin, and EBDIT margin of downsized firms, there remains to be limited empirical data to support the notion that downsizing produces improved financial outcomes (Dawkins et al., 1999; De Meuse et al., 2004; Macky, 2004; Morris, Cascio, & Young, 1999).

Third, following downsizing activities, operating performance seems to improve significantly in conjunction with reductions in cost of sales and labor cost, as well as capital and research and development (R&D) expenditures (Espahbodi et al., 2000). Sales generally have a tendency to increase following downsizing, while the costs of sales and market-to-book ratio have no significant relationship with downsizing activities (Chalos & Chen, 2002; De Meuse et al., 1994). It has


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TABLE 1: FINANCIAL CONSEQUENCES OF DOWNSIZING

| Author/s and title | Methodology | Dependent variable/s | Result/s |
|---|---|---|---|
| Love, E. G., & Nohria, N. (2005). Reducing Slack: The Performance Consequences of Downsizing by Large Industrial Firms from 1977–1993. | *Method/s*: Pooled time-series analysis with the unit of analysis the firm-year. Examination of financial data. Analysis of retrospective data. *Sample*: Panel data of 100 large industrial firms in USA *Period measured*: 1977–1993 *Industry*: Multiple *Limitations*: Only focus very large industrial firms who were in a period of relative decline. Results may not be generalizable to other industries, high growth sectors, or smaller firms | High/low absorbed slack (HAS/LAS). | Shows no evidence for the main effect of downsizing on performance in post-downsizing firm-years. Distinguishing high/low absorbed slack (HAS/LAS), scope and timing. HAS firms were most likely to achieve performance improvements. LAS firms that downsized reactively and focused narrowly on employee reductions were least likely to see performance improvements. |
| De Meuse, K. P., Bergmann, T. J., Vanderheiden, P. A., & Roraff, C. E. (2004). New evidence regarding organizational downsizing and a firm's financial performance: a long-term analysis. | *Method/s*: Longitudinal analysis. *Sample*: Fortune Magazine's Annual Survey of largest 100 US corporations. *Period measured*: 1987–1998 *Industry*: Multiple *Limitations*: Small sample size; large firms only. | Profit margin; Return on assets (ROA); return on equity (ROE); asset efficiency; market-to-book ratio. | It was found that downsized firms performed significantly poorer up to two years following the announcement. Beginning with the third year, none of the differences reached statistical significance. When analyzing the magnitude of downsizing, the data revealed that firms that had downsized a small number of employees (i.e., up to 3%) performed significantly better in the announcement year, while firms that downsized more than 10% of the workforce significantly underperformed firms laying off less. |
| Chalos, P., & Chen, C. J. P. (2002). Employee Downsizing strategies: market reaction and post announcement financial performance. | *Method/s*: Multiple regression analysis. *Sample*: 250 firms from Fortune 500 list. *Period measured*: 1993–1995 *Industry*: Multiple *Limitations*: Primarily focusing large US firms, covering a three year period. Only considering aggregated financial measurements. | Sales; Return on assets (ROA); cost of sale (COS). | Over a three year period, 365 downsizing decision led to employee layoffs of 915,546. Suggest that layoff announcements that disclose strategic plans for refocusing lines of business resulted in significantly positive market returns. Indicate positive IAFP for operating cash flow, sales and (ROA). Cumulative abnormal returns, significant. COS did not improve significantly. Sales and ROA did improve for downsizing cost cutting firms. |

| | | | |
|---|---|---|---|
| Espahbodi, R., John, T. A., & Vasudevan, G. (2000). The effects of downsizing on operating performance. | *Method/s*: Wilcoxon signed-rank tests and parametric *t*-tests, regression analysis.<br>*Sample*: 118 downsizing firms<br>*Period measured*: 1989–1993<br>*Industry*: Multiple<br>*Limitations*: Reliance of secondary data and a limited data set. | Operating performance. | Downsizing firms experienced decline in operating performance, prior to the downsizing announcement.<br>Operating performance improved significantly following the downsizing.<br>Reduction of the cost of sales, labor cost, capital expenditures and R&D expenditures.<br>Increase in assets following the downsizing. |
| Dawkins et al. (1999). Downsizing and firm performance (Chapter 6). | *Method/s*: Secondary data analysis from the IBIS firm data base, Regression, bivariate and Multivariate analyses.<br>*Sample*: 592 Australian firms (Classifying organization dependent of level of diversification, size and change in employments).<br>*Period measured*: 1990–1993<br>*Industry*: Multiple<br>*Limitations*: Broad set of industries among investigated firms. Limited data set, covering data for 1990 to 1993. Takes into account level of diversification, firm size, changes in profitability and employment. | Return on assets (ROA); Return on equity (ROE); EBDIT margin. | 36% of firms were found to be highly focused, 43% were somewhat diversified and 22% were highly diversified.<br>34% of non-benchmarking firms made substantial improvements in labor productivity after they downsized, while 48% of benchmarking firms did so.<br>Both upsizers and downsizers reduced their return on equity (ROE), and similar patterns for return on assets (ROA) and EBDIT margin (EBDITM). Effects were stronger for firms that upsized or downsized the most. Small to medium size firms had an 80% chance of having reduced profit ability a year or two down the track if they did not change their employment size. Over 80% considered that they achieved some increase in labor productivity as a result, about half of which said that they had achieved it to a great extent. Failed to find any clear evidence of downsizing leading to improved rates of profit. Inferred as a general rule, reduced employment *per se* did not provide the key to higher profitability |
| Appelbaum, S. H., Everard, A., & Hung, L. (1999a). Strategic downsizing: Critical success factors. | *Method/s*:<br>*Sample*: 16 American firms<br>*Period measured*: 1982–1988<br>*Industry*: Multiple<br>*Limitations*: Does not differentiate between firms with single and/or multiple-rounds of downsizing. | Stock market price. | Appelbaum et al. (1999a) cited a Mitchell & Co. study of 16 North American firms that had cut more than 10% of their respective workforces between 1982 and 1988. It was shown that two years after the initial stock price increase, ten of the 16 stocks were quoting below market by 17–48% and 12 were below the comparable companies in their industries by 5–45%. Concluded that such results depicted the 'true' financial impact of downsizing on firms. |

(*continued*)



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TABLE 1: (CONTINUED)

| Author/s and title | Methodology | Dependent variable/s | Result/s |
|---|---|---|---|
| Morris, J. R., Cascio, W. F., & Young, C. E. (1999). Downsizing after all these years: Questions and answers about who did it, how many did it, and who benefited from it. | *Method/s*: Secondary data analysis from the Standard & Poor's 500 list, descriptive statistics, regression analyzes.<br>*Sample*: 5,479 observations.<br>*Period measured*: 1981–1992<br>*Industry*: Multiple<br>*Limitations*: Primarily North American firms, no international comparison, focus on descriptive statistics. | Profitability; Stock market price. | Studied the financial performance of the Standard and Poor's 500 index subsequent to changes in employment. The tabulation showed that firms with stable employment consistently outperformed companies with employment downsizing. Also, firms that 'upsized' (i.e., employment increases exceeded 5%) generated stock returns that were 50% higher than those of stable and downsized firms in the year that they upsized, and cumulative stock returns that were 20% higher over a period of three years. A consistently positive correlation between downsizing and improved financial performance could not be established. Rather, empirical evidence suggested that downsizing was unlikely to lead to improvements in a firm's financial performance. |
| Cascio, W. F., Young, C. E., & Morris, J. R. (1997). Financial consequences of employment change decisions in major U.S. corporations. | *Method/s*: Multiple regression analysis between profitability and change in employment.<br>*Sample*: All companies included in the Standard & Poor's (S&P) 500 list, equal to 5,479 occurrences of changes.<br>*Period measured*: 1981–1992<br>*Industry*: Multiple<br>*Limitations*: Data set covering five years, studying annual changes in employment rather than announcements of changes. Does not take in to account the long-term consequences/effects. | Change in employment (Relationship between profitability and change in employment); return on assets (ROA; return on stock, ROS). | The largest changes in employment (both up and down), occurred in conjunction with major asset restructuring. The downsizers were, on the average, less profitable compared to stable employers or upsizers. Apparent decline in return on assets (ROA) for the employment downsizers, and increase in ROA for asset downsizers. Stable employers remain stable in the Return on stock (ROS). Employment downsizers show a slight increase in ROS. Asset downsizers show a significant increase in ROS. |
| De Meuse, K. P., Vanderheiden, P. A., & Bergmann, T. J. (1994). Announced layoffs: Their effect on corporate financial performance. | *Method/s*: Secondary data analysis, regression analyses<br>*Sample*: Top 100 firms in Fortune's 1989 listing.<br>*Period measured*: 1987–1991<br>*Industry*: Multiple<br>*Limitations*: Does not differentiate between firms with single and/or multiple-rounds of downsizing. | Five financial indices: Profit margin; return on assets (ROA); return on equity (ROE); asset turnover; market-to-book ratio. | No significant positive relationships for any of the financial variables. The empirical evidence did not support the contention that downsizing leads to improved financial performance. |

| | | | |
|---|---|---|---|
| Worrell, D. L., Davidson, W. N., & Sharma, V. M. (1991). Layoff announcements and stockholder wealth. | *Method/s*: Secondary data analysis based on the DIALOG System of National Newspaper Index. *Sample*: 194 firms *Period measured*: 1979–1987 *Industry*: Multiple *Limitations*: Study did not test the reaction of the stock market to actual layoffs, but to their announcement in the financial press. | Return on stock (ROS). | Stock returns of companies for the period from 90 days prior to the announcement of the downsizing to 90 days after the announcement. There was a significantly negative market reaction to the announcements with the cumulative loss in stock value being about 2% of the value of the equity of the firms. For firms that provided restructuring and consolidation as the reason for the layoffs, there was a 3.6% increase in stock value over the 180-day test period, while among firms citing financial distress as the reason for downsizing, stock values declined an average of 5.6% over the same period. |

Source: Developed for this paper.

also been reported that, in the long run, firms embracing asset and employee downsizing have a less positive stock market price development than firms adopting upsizing activities (Hillier et al., 2007; Morris et al., 1999).

Admittedly, some companies have reaped financial benefits following downsizing. In fact, there can be a healthy side to the restructuring and downsizing of organizations. For instance, some firms become bloated and, thus, require 'rightsizing' in order to bring workforce levels into alignment with the entire organizational system (Hitt, Keats, Harback, & Nixon, 1994). This can be achieved by eliminating unnecessary and/or redundant work. For instance, in a Canadian study of 1,034 downsized firms, Axmith (1995) found that the majority of surveyed companies reported improved levels of earnings, employee productivity, and customer service, as well as decreased overall costs. However, the vast majority of evidence suggests that downsizing activities fall short of meeting financial and organizational objectives (Cameron, Whetten, & Kim, 1987; Cascio, 1998; Gandolfi & Neck, 2008). Nonetheless and perhaps surprisingly, despite its dismal track record to date, downsizing has remained a most popular strategy of choice (Farrell & Mavondo, 2004; Gandolfi & Hansson, 2010; Littler & Gandolfi, 2008).

Downsizing generates a range of *organizational* consequences. Downsizing consolidates decision-making at higher levels of organizational hierarchy, and often produces a crisis mentality focused on immediate needs at the expense of long-term planning (Cameron, 1994). Further, downsizing generates a loss of innovation with less tolerance for risk and failure associated with creative activity (Richtnér & Ahlström, 2006). Ironically, although overall communication becomes restricted, the organizational climate becomes more politicized as special interest groups organize and become more vocal (Burke & Cooper, 2000; Littler & Hansson, 2007). Other negative consequences following downsizing activities include


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decreased morale (Wagar, 1998), decreased productivity (Budros, 1997; Yoo & Mody, 2000), and an increased number of conflicts, slower conflict resolution, and a loss of trust (Cameron, 1994; Cutcher-Gershenfeld, 1991; Hansson, 2008a,b; Littler & Hansson, 2007). Increased levels of individualism and disconnectedness have shown to hinder teamwork, while poor or lack of leadership and an increased level of resistance to change generate conservatism and a threat-rigidity response, leading to a protectionistic stance (Cameron, 1994; Hansson, 2008a; Shaw & Barrett-Power, 1997).

On the other hand, some studies have unveiled positive organizational outcomes, including lower overhead costs, less bureaucracy, faster decision-making, smoother communication, greater entrepreneurship, and increased levels of employee productivity (Burke & Cooper, 2000).

Downsizing generates a range of *human* consequences. It has been reported that the human costs of downsizing are immense and far-reaching (Brockner, 1988, 1992; Brockner et al., 1988a, 1988b; Burke & Greenglass, 2000). From the extant literature, it is possible to distinguish between three categories of people directly impacted by downsizing; victims, survivors, and executioners (Allen, 1997; Downs, 1995; Kettley, 1995; Littler, 1998). The following sections present a non-exhaustive account of some representative studies on the identified human consequences of downsizing activities:

## Victims

Research depicts strong evidence of adverse psychological effects resulting from job loss, including psychological stress, ill health, family problems, marital problems, reduced self-esteem, depression, psychiatric morbidity, helplessness, anxiety, and feelings of social isolation (Dolan et al., 2000; Gandolfi, 2007; Greenglass & Burke, 2001; Havlovic, Bouthillette, & Van der Wal, 1998). There is some evidence suggesting that job loss caused by downsizing has the propensity to generate permanent damage to the victims' careers (Cameron et al., 1991; Dolan et al., 2000). Victims have also reported a loss of earning power upon reemployment (Konovsky & Brockner, 1993). Studies further suggest that victims have encountered feelings of cynicism, uncertainty, and decreased levels of commitment and loyalty that carry over to the next job (Macky, 2004).

## Survivors

Scholars have studied extensively the emotions, behaviors, and attitudes displayed by survivors during and after downsizing activities. These symptoms have come to be known as survivor 'sicknesses' (Appelbaum & Donia, 2001). One dominant stream of the downsizing research has focused on the *survivor syndrome* as a cluster of negative workforce outcomes (Appelbaum et al., 1997; Brockner, 1988; Brockner, Grover, Reed, & DeWitt, 1992; Brockner, Grover, Reed, DeWitt, & O'Malley, 1987). These psychological outcomes generate, for example, 'new' psychological contracts (Barker & Duhaime, 1997; Barker & Mone, 1994; Guest, 1998; Robbins & Pearce, 1992; Rousseau & McLean-Parks, 1993; Sparrow, 1998), reduced career consciousness (Freeman, 1994; Freeman & Cameron, 1993), decreased organizational involvement (Brockner et al., 1988a,b), decreased levels of work quality (Makawatsakul & Kleiner, 2003), and reduced organizational commitment (Brockner et al., 1987; Freeman, 1994; Freeman & Cameron, 1993; Littler, 1998; Littler et al., 2003; Rousseau & McLean-Parks, 1993). Other negative outcomes of downsizing include guilt (Allen, 1997; Devine, Reay, Stainton, & Collins-Nakai, 2003), positive inequity (Brockner et al., 1986a, 1988a, 1988b), anger and arousal (Cutcher-Gershenfeld, 1991), stress (Sverke & Hellgren, 2001), anxiety (Staw, Sandelands, & Dutton, 1981; Shaw & Barrett-Power, 1997), relief (Allen, 1997; Schweiger, Ivancevich, & Power, 1987), and increased job insecurity (Brockner et al., 1985, 1986b, 1987, 1988a, 1988b; Hansson, 2008a).


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Survivors tend to display dysfunctional work behaviors and attitudes, such as decreased motivation (Kinnie, Hutchinson, & Purcell, 1998), decreasing morale (Cameron, 1994; Smeltzer & Zener, 1994), increased propensity to leave (Appelbaum et al., 1997; Littler et al., 2003), lowered commitment (Beylerian & Kleiner, 2003), decreased satisfaction (Redman & Keithley, 1998), increased resistance to change (Macky, 2004), increased level of conflicts, and lowered speed of conflict resolution (Cutcher-Gershenfeld, 1991; Hansson, 2008b).

Further survivor sickness pathologies include increased levels of absenteeism (Campbell-Janison, Worrall, & Cooper, 2001; Gandolfi, 2005), increased employee turnover (Brockner, 1988), decreased employee involvement (Beylerian & Kleiner, 2003), reduced risk taking (Allen, 1997), decreased levels of innovation (Cascio, 1993; Gandolfi & Oster, 2009), decreased employee commitment (Mirvis & Marks, 1992), decreasing morale (Lecky, 1998), and distrust towards management (Cascio, 1993; Greenhalgh & Rosenblatt, 1984). Along the same lines, researchers have documented lowered productivity (Estok, 1996; Kinnie et al., 1998), decreased work performance (Beylerian & Kleiner, 2003), reduced efficiency (Lee, 1992), reduced job performance (Cameron et al., 1993; Littler, Bramble, & MacDonald, 1994; Littler & Innes, 2003), decreased levels of product and service quality (Fisher & White, 2000), decreased level of learning (Sahdev, 2003), and deteriorated levels of competence in the organization (Gettler, 1998).

Gettler (1998) observed similar symptoms among survivors in New Zealand, Australia, and South Africa suggesting the findings were in line with data from the U.S. and Europe (Amundson et al., 2004; Beylerian & Kleiner, 2003; Makawatsakul & Kleiner, 2003).

Compounding the survivor syndrome is the survivor guilt represented by the victim's sense of responsibility or remorse for some offence, and is often expressed in terms of depression, fear, and anger (Allen, 1997; Cameron et al., 1991; Noer, 1993). Survivor guilt tends to arise when survivors perceive that their own performance merited no better treatment than that accorded downsized victims (Littler et al., 1997). Scholars have learned it is not the terminations *per se* that create hostility, anger, bitterness, and survivor guilt but the manner in which the terminations are handled (Schweiger et al., 1987). Moreover, bitterness, anger, and disgust regarding the layoffs of co-workers may potentially result in survivor guilt (Appelbaum et al., 1999a, 1999b).

In addition, survivor envy reflects a survivor's feelings of envy towards the victims (Campbell-Janison et al., 2001; Kinnie et al., 1998; Littler, 1998). Research suggests that the focus in most downsized firms is on the downsizing victims, who are deemed most in need of counseling, support, help, and re-training (Amundson et al., 2004). Victims frequently receive generous benefits (Gandolfi, 2006a), including personal assistance like outplacement support, personal and family counseling, and retraining, plus financial compensation, such as severance pay, relocation assistance, and various benefits packages (Allen, 1997). Survivors presume victims will obtain either generous retirement incentives or new jobs with more attractive compensation. It is not surprising that Littler (1998, p. 14) found that, at times, 'survivors start to feel that they are the unlucky ones, the poor idiots left behind to clean up the corporate mess with reduced resources'.

## Executioner

A downsizing executioner or executor is an employee, manager, or consultant entrusted with the planning, execution, and evaluation of a downsizing activity (Downs, 1995). To date, little research has explored the emotional responses and reactions of the subjects implementing downsizing (Gandolfi & Neck, 2008). Nonetheless, there is some empirical evidence suggesting that the implementers of downsizing suffer from similar psychological and emotional effects as the victims and survivors (Gandolfi, 2007) in that bearing


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downsizing responsibilities is emotionally taxing and professionally challenging (Clair & Dufresne, 2004).

In sum, a multitude of financial, organizational, and human consequences of downsizing has appeared in the literature. To put a single downsizing consequence forward is problematic and underrates the complexity of the phenomenon. Some frequently reported consequences of downsizing include decreased levels of organizational efficiency, effectiveness, productivity, and profitability. Furthermore, downsizing has also shown to produce decreased morale and job satisfaction, increased number of conflicts, slower conflict resolution, and a loss of trust as well as increased levels of individualism and perceptions of disconnectedness generating a range of psychological outcomes for downsizing victims, survivors, and executioners.

## Contemporary downsizing practices

As described in the previous section, it is possible to state that downsizing has largely failed to produce the widely anticipated financial and organizational gains, while profound human consequences have emerged among all constituencies within the downsized firm. There is some acknowledgment within the business community that downsizing has been destructive (Zyglidopoulos, 2003), yet there is considerable empirical and anecdotal evidence suggesting that the execution of downsizing has continued well into the new millennium (Gandolfi, 2009; Hansson, 2008a,b; Macky, 2004; Mirabal & DeYoung, 2005). In addition, there are widespread expectations that firms will continue to resort to downsizing activities (Gandolfi & Hansson, 2010; Littler & Gandolfi, 2008).

Prior to the mid-1980s, downsizing was adopted in situations where employee reductions were undertaken in response to external events and short-term needs (Kozlowski, Chao, Smith, & Hedlung, 1993). This strategy, which was considered reactive downsizing, is intrinsically correlated with the business cycle and purposefully chosen as a reactive measure to economic crises. Since the mid-1980s, however, downsizing or rightsizing has manifested itself as a proactive human resource strategy (Chadwick et al., 2004; Hitt et al., 1994) and a strategy of choice (Burke & Greenglass, 2000). Thus, downsizing has become decoupled from the business cycle (Littler & Gandolfi, 2008), and the decision to embrace downsizing is no longer determined by financial success and failure (Mellahi & Wilkinson, 2004). This fundamental change connotes that downsizing has attained the status of a restructuring strategy (Cameron, 1994) with the intent of achieving a new organizational structure and a new level of competitiveness (Littler et al., 1997). Consequently, the 1990s saw the elevation of the downsizing strategy as a way of life (Filipowski, 1993) and a corporate panacea (Nelson, 1997). Paradoxically, this development took place despite the absence of downsizing successes.

The active adoption of downsizing has enjoyed continued popularity in the first few years of this new millennium despite the many lackluster results reported in the 1980s and the 1990s. From a change management perspective, the 1990s did not end in 1999, but culminated in the technology-induced financial markets downturn in 2001 (Littler & Gandolfi, 2008), as well as frequently reported multiple layoffs following the current global financial crisis (Sowjanya & Vasanthi, 2009). There is strong empirical evidence demonstrating that downsizing practices have remained fashionable in this new decade (Gandolfi & Neck, 2008; Macky, 2004; Mirabal & DeYoung, 2005). As in the previous two decades, downsizing-related synonyms and euphemistic terms have appeared in abundance in both the business press and academic literature (Story & Dash, 2008; Weiss, 2008).

Large firms, in particular, have continued to downsize and embark upon extensive nonselective (i.e., across-the-board) job cutting since 2001 (Littler & Gandolfi, 2008). This is evident in the downsizing announcements and plant closures in the U.S. and elsewhere over the past three


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years. In 2007, for example, large pharmaceutical firms, such as AstraZeneca, Bayer, Johnson & Johnson, and Amgen announced plant closures and closings of research centers, thereby practicing employee layoffs on a large scale (Martino, 2007). During the same time period, high-technology companies cut their employee levels; for example, Dell shed 8,800 jobs (Ogg, 2007) and Motorola released 10,000 employees (Deffree, 2007). Most recently, the global finance industry has been severely impacted by the global credit squeeze (Elstein, 2008). In the wake of the ongoing U.S. subprime mortgage crisis and its aftermath, many financial firms have been forced to make deep personnel cuts (Story & Dash, 2008). At present, significant employee cutbacks are occurring in the global finance industry and projections of hundreds of thousands of job losses in the U.S. finance industry in the wake of the current economic fallout have surfaced (Read, 2008).

Downsizing can appear in different shapes and forms. For instance, stealth downsizing, seen by some as a current management fad (Weiss, 2008), has emerged as a current layoff practice. Under the stealth approach, managers are not permitted to discuss downsizing and downsizing-related layoffs openly in meetings, memos, or e-mails out of fear that negative publicity may ensue (Richtmyer, 2002). Firms engaging in such practices attempt to avoid negative press coverage at all costs, yet they are likely to create an atmosphere of distrust and unease among employees leading to lower levels of workforce morale and motivation as well as defections of talented people (McGregor, 2008). As a result, firms reduce employee levels in a surreptitious manner (Demerjian, 2005; Krane, 2002; Weiss, 2008).

The current downsizing-related layoffs in the finance industry can be characterized as stealth downsizing (Story & Dash, 2008). In the past, non-selective, across-the-board (mass) layoffs in the finance industry were typically conducted with sudden, deep employee cuts. This was exemplified in both the 1987 U.S. stock market crash and the global financial upheaval in 1998, where employees were typically dismissed *en masse* (Story & Dash, 2008).

## Concluding remarks

This research paper has shown that downsizing remains a complex, multifaceted business phenomenon (Datta et al., 2010). While the downsizing literature is extensive and many valuable insights have been gained over the past three decades, the reactive and strategic adoption and practice of downsizing has continued unabated despite its dubious track record (Gandolfi & Hansson, 2010).

In order to develop a more in-depth understanding of downsizing, the authors believe that it is necessary to determine and understand the driving factors causing downsizing activities and the ensuing consequences of such endeavors (Datta et al., 2010). As a result, an integrative framework has emerged depicting the causes and consequences that are typical and most frequently cited in the literature. This integrative framework is shown in Figure 1 and purports to lay out the foundations for a more comprehensive understanding of the most typical causes and consequences of downsizing than any single explanation by itself.

Accordingly, downsizing activities can be driven by either external factors, such as financial crises, competition, and other types of change that influence an organization's realm of action, or internal firm-level factors, namely financial and managerial actions. Interactions between the external and firm-level factors are in most cases driven from changes in the external environment generating various implications and management action on the firm level, often including downsizing (see dotted arrow in causes as per Figure 1). A downsizing activity per se is a deliberate action within the organization and initiated by management. How and to what extent external factors generate management actions resulting in downsizing activities is an empirical question. In line with Mellahi and Wilkinson (2004), we argue that future studies should compare and


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contrast the impact of organizational dynamics, management actions, and various types of change during growth and decline stages, stable and unstable environment, and periods of technological stability and change.

As established in this current paper, downsizing activities generate a wide range of financial, organizational, and human consequences. The literature on downsizing consequences has shown to be diverse and a number of contradictory findings to the mainstream research have been presented. On an aggregated level, and as previously noted, the overall consequences of downsizing activities have presented themselves to be largely negative, particularly at the organizational and human levels. Nonetheless, some positive downsizing outcomes have been reported, primarily at the financial level.

In the integrative framework (see Figure 1), the authors have outlined the most frequently reported consequences under each level of analysis. Each reported consequence has been associated with an indication of its typical outcome, as reported from the scholarly literature. The indication is depicted with an arrow (or arrows) as increase (↑), decrease (↓), or no significantly reported effect (–). This framework indicates a somewhat complex picture of a multitude of causes and consequences. The value of presenting this framework is to gain a better understanding of the problems and issues organization face in ever-changing internal and external environments. The integrative role of this framework remains its delineation of various causes and consequences of downsizing activities, and its consideration of whether the stated activities are congruent with or disparate from the extant literature. It is evident from the review of the downsizing literature that a multitude of dependent variables has been the primary focal point and that the majority of research has been conducted using survey or panel data.

The outlined integrative framework holds certain limitations: First, it has not been our intent to outline causal relationships that have been addressed in the previous research, nor to provide a mapping of downsizing with guidelines for theory-consistent empirical research (Luft & Shields, 2003). Rather, this framework merely provides an overview and depicts the majority of factors reported in previous research on downsizing. Such a task is challenging and can be a useful source for future research. Second, the framework is also limited to the extent that it does not take into account the type of downsizing activity employed. However, the majority of studies focuses on workforce reduction as a downsizing strategy even if there are some studies that take into account divestments as strategic transformations intended to change a firm's design, work processes, corporate culture, values and attitudes, and mission (Kets de Vries & Balazs, 1997).

Finally, this paper has reviewed contributions from the downsizing literature. It has been the authors' intention to make a widely scattered, multifaceted, and notably diverse field of research much more readily available to scholars and business professionals. As previously noted, the vast majority of the downsizing literature is paradigmatically situated within the social action theory within the functionalistic approach consisting of a whole range of ontological, epistemological, and methodological assumptions (Burrell & Morgan, 1979). Still, within the social action theory realm, explanations of the social world must be adequate at the level of meaning. Explanations of social affairs must account for the way in which individuals attach subjective meaning to situations and orient their action in accordance with their perceptions of those situations. This has not been clear within the previous research. Thus, the authors argue that future research should take into account such aspects in order to combine theoretical richness and methodological rigor.

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